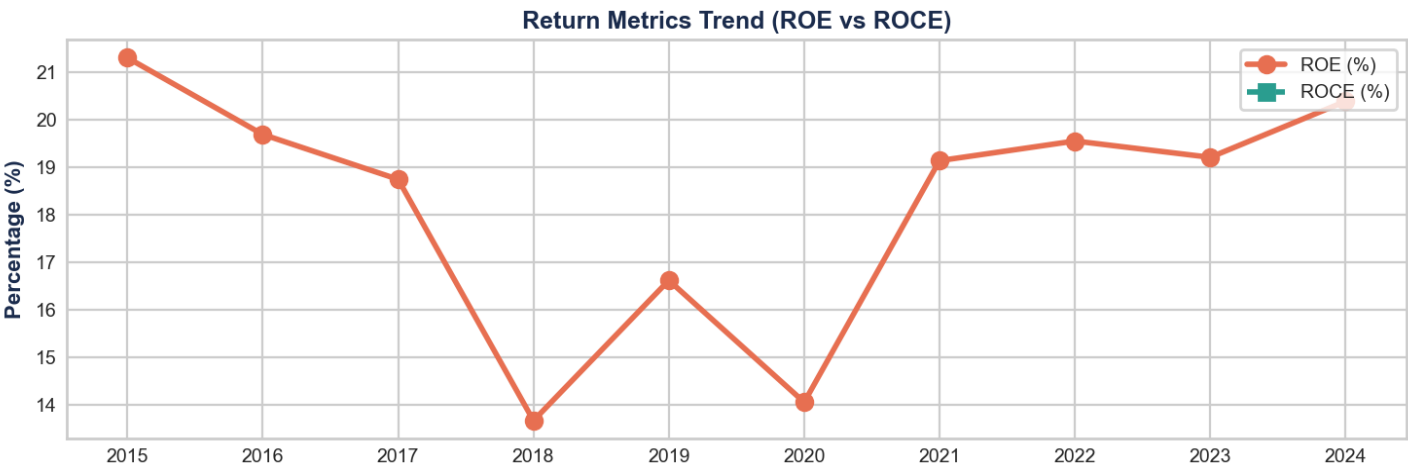
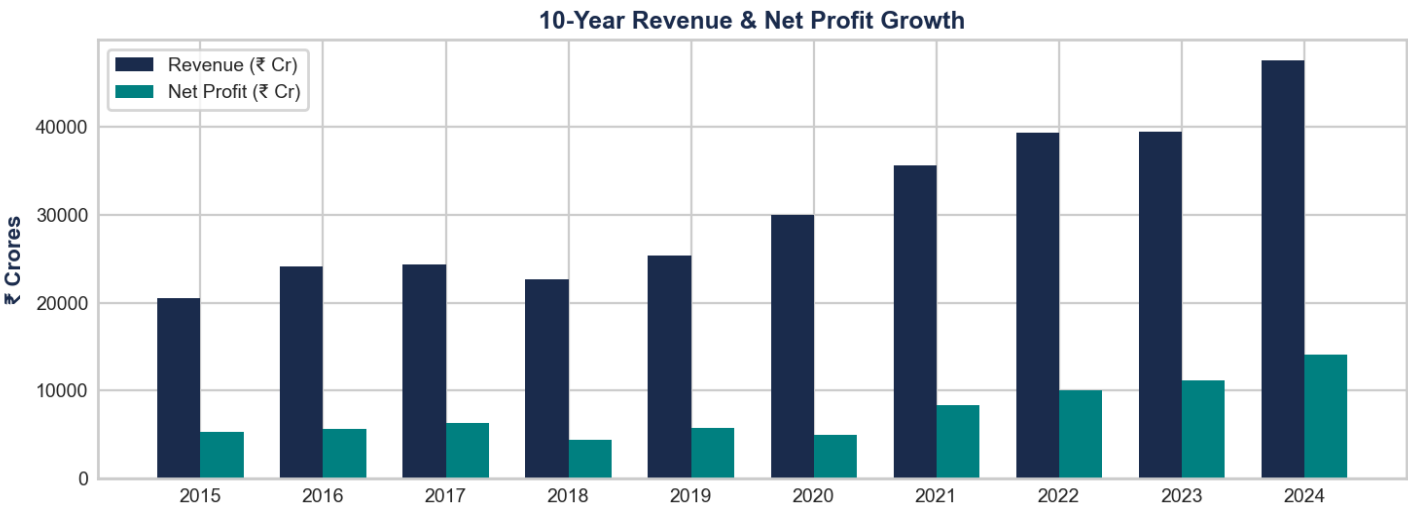
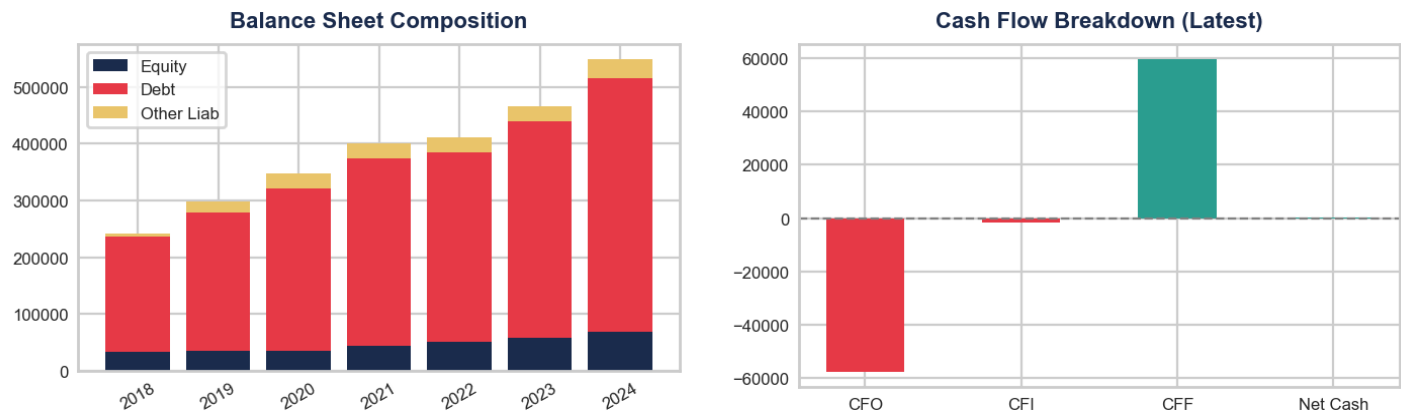


REVENUE ■47,517 Cr 5Y CAGR: 13.3%	NET PROFIT ■14,145 Cr 5Y CAGR: 19.8%	RETURN ON EQUITY 20.4% ROCE: nan%
LEVERAGE (D/E) 6.42x ICR: 1.6x	CFO QUALITY Accrual Risk FCF: ■-59,554 Cr	MARKET CAP ■291,917 Cr P/E: 31.5x



REC Ltd — Balance Sheet, Cash Flow & Qualitative Signals



KEY STRENGTHS & INVESTMENT PROS

- Consistently high return on equity above 20% demonstrates exceptional capital efficiency
- Operating profit margin above 25% indicates strong pricing power and cost discipline
- Earnings per share growing above 15% CAGR indicates strong earnings quality and compounding
- Revenue growing slower than profits shows improving operating leverage and scale benefits

KEY RISKS & FINANCIAL CONCERNS

- Free cash flow negative for 3 consecutive years raises concern about cash generation quality

CAPITAL ALLOCATION PATTERN (SPRINT 2 ENGINE)

CLASSIFICATION BADGE: GROWTH FUNDED BY DEBT